

the breakout direction by more than 5% before heading back up. The reverse is also true for upward 5% failures: Price climbs after an upward breakout by no more than 5% before tumbling.

Statistics

[Table 8.2](#) shows general statistics for the broadening bottom chart pattern.

Number found. I dug up 1,238 patterns in 667 stocks starting from August 1991 to September 2019 but removed the bear market ones because they were too few when sorted by breakout direction. Not all stocks covered the entire range, and some no longer trade. Both up and down breakouts are for bull markets.

Reversal (R), continuation (C) occurrence. By definition, a bottoming pattern has price entering the pattern from the top. A pattern acting as a reversal sends price out of the pattern upward (reversing the downtrend). A continuation pattern breaks out downward (continuing the downtrend).

Average rise or decline. Price posts a 45% rise after an upward breakout, helped along by a bullish general market. Downward breakouts suffer when price tries to drop in a bullish market. That's like swimming against the current.

[Table 8.2](#) General Statistics

Description	Up Breakout	Down Breakout
Number found	599	405
Reversal (R), continuation (C) occurrence	100% R	100% C
Average rise or decline	45%	–15%
Standard & Poor's 500 change	14%	–2%
Days to ultimate high or low	240	47
How many change trend?	52%	29%

Standard & Poor's 500 change. The performance of the index can't compare to the performance posted by the chart pattern. That's typical, but I'm not sure it's a fair comparison. We're comparing a perfect trade to the index, using the same dates as the broadening bottom trade. It does show